

Fish Network — Technical Investor Memo

A Full-Stack Financial Coordination System for Private Markets

1. Thesis

Fish Network is not a marketplace or a protocol in isolation.

It is a **modular coordination stack** that transforms private markets from:

static, illiquid ownership systems

→ into

dynamic, graph-coordinated, reputation-weighted financial networks

The core insight:

Liquidity in private markets does not need to come from asset transfer — it can be derived from coordination.

2. System Architecture (Layered Moat)

Fish is architected as **four tightly coupled but separable layers**:

Layer 1 — Identity + Attestation (Trust Primitive)

- Wallet-based identity + compliance attestations (KYC, accreditation)
- Privacy-preserving verification (ZK-compatible)
- On-chain attestations = **verifiable action history**

→ This creates a **non-falsifiable reputation substrate**

Layer 2 — Reputation Engine (Non-Transferable Primitive)

- Score derived from:
 - capital
 - participation

- Represented as **non-transferable ERC-20-style balance**
- Deterministic, auditable scoring

→ Reputation becomes:

- portable
 - composable
 - non-financial (regulatory advantage)
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Layer 3 — Capital Representation (Wrapper Abstraction)

- **Position NFTs** → represent individual pool participation
- **School NFTs** → aggregate portfolio exposure
- Ownership is preserved, but representation is abstracted

→ This decouples:

ownership ≠ exposure ≠ liquidity

Layer 4 — Liquidity Graph (Coordination Engine)

- Pools = nodes
- Relationships (capital, participants, reputation) = edges
- Capital routed via graph optimization

→ Enables:

- synthetic liquidity
 - cross-pool coordination
 - capital efficiency without asset movement
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3. The Core Breakthrough

Liquidity Without Transfer

Traditional systems require:

liquidity = transfer of ownership

Fish introduces:

liquidity = function(graph relationships + synthetic exposure)

Mathematically:

- Graph:
 $G = (V, E)$
 - Edge weights:
 $w(i,j) = f(\text{capital}, \text{participation}, \text{reputation})$
 - Liquidity:
 $L = \Sigma \text{exposure across connected nodes}$
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Implication

You no longer need:

- secondary buyers
- continuous order books
- asset custody transfer

To create:

- tradable exposure
 - pricing signals
 - portfolio liquidity
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4. Allocation Engine (Capital × Reputation × Participation)

At the core of coordination is a **multi-factor weighting function**:

$$[W_i = C_i^{\alpha} \cdot R_i^{\beta} \cdot P_i^{\gamma}]$$

- (C): capital
- (R): reputation (Fish Points)
- (P): participation

Key properties:

- **Non-linear scaling** → prevents whale dominance
 - **Reputation portability** → cross-pool influence
 - **Behavior-weighted allocation** → meritocratic capital flow
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Why this matters

This is not just governance—it is:

programmable capital allocation logic

Which replaces:

- GP discretion
 - pro-rata allocation
 - static fund structures
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5. Synthetic Exposure System

The wrapper + graph layers combine to create:

Exposure abstraction

- Users hold:
 - position NFTs (atomic)
 - portfolio NFTs (aggregated)
- System computes:
 - derived exposure
 - index-like representations

No asset movement required

Exposure is created by **referencing positions**, not transferring them

This enables:

- private market indices
- structured products
- derivatives on illiquid assets
- portfolio-level liquidity

6. Why This Is Defensible

A. Multi-Layer Dependency (Hard to Fork)

Most competitors attack one layer:

Layer	Typical Competitors
Trading	Forge, EquityZen
Tokenization	Securitize
DAOs	Syndicate
Prediction markets	Polymarket

Fish integrates all of them into:

a single composable system

Removing any one layer breaks the system.

B. Reputation as a Primitive (Underrated Moat)

- Non-transferable
- historical
- behavior-derived

This creates:

- switching costs
 - identity lock-in
 - coordination advantage
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C. Graph-Based Liquidity (Novel Category)

This is not:

- AMM liquidity
- order book liquidity

It is:

network-derived liquidity

Where:

- value emerges from relationships, not pools
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D. Synthetic Exposure Without Custody Transfer

This is critical:

- avoids regulatory friction
 - avoids asset custody complexity
 - enables global participation
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E. Composability Across Layers

Each layer feeds the next:

Attestations → Reputation → Allocation → Graph → Exposure → Derivatives

This compounding effect creates:

non-linear defensibility

7. System-Level Insight

Fish is not building:

- a better SPV
- a better syndicate
- a better marketplace

It is building:

a new financial primitive stack

As stated in the broader system design:

programmable coordination of capital, governance, and trust across decentralized systems

8. Strategic Positioning

Short Term

- Capital pooling (Fish Pools)
- Reputation-weighted governance
- Early liquidity via coordination

Mid Term

- Fish Markets (ownership trading)
- Price oracle system
- Exposure products

Long Term

- Private market derivatives
 - Index layer
 - Global capital routing network
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9. The Real Moat

The deepest moat is not technical—it's structural:

Fish transforms:

- investors → nodes
 - pools → networks
 - capital → flows
 - reputation → routing weight
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End State

Private markets become:

- liquid (via exposure)
 - priced (via oracle + markets)
 - coordinated (via graph)
 - meritocratic (via reputation)
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10. Bottom Line

Fish Network is best understood as:

a coordination engine for capital, not a marketplace for assets

It replaces:

- funds → with protocols
- allocation → with algorithms
- liquidity → with networks